proves to be more dangerous. You have to be shrewd and you have to be patient."[3] He added, "For an ordinary person, can you imagine just sitting there for five years doing nothing? It's so contrary to human nature. You don't feel active. You don't feel useful, so you do something stupid." A big part of investing is indeed waiting patiently for a "fat pitch" right over home plate and then swinging aggressively.

DUE DILIGENCE/PROCESS

As value investors, we focus on what is out of favor or misunderstood. We begin our process of determining which asset classes, industries, or regions might offer the best opportunities to reach our established longer-range goal of equity-like returns with less than market risk and allocate our time accordingly. We spend a lot of time asking a lot of questions about both the problems and prospects of a potential investment: What are the forces that will shape its fate? What's the downside? What if . . . ? We regularly seek a contrary view to avoid the positive reinforcement of an echo chamber, and we invert our thesis to see the investment from a different lens, where things may not look as rosy. These efforts have helped us identify areas of opportunity, like in early 2009 when distressed debt was priced for a depression scenario, while avoiding others like financials for much of the early to mid 2000s when prices failed to reflect the risk of subprime debt proliferation and the interrelated housing bubble.

We speak to relatively few "investment professionals" outside our firm. We prefer to spend less time on Wall Street and more time with people on Main Street—customers, competitors, company executives, and industry experts—because we believe this interaction improves our understanding of businesses and industries. We read a lot, everything from SEC filings and conference call transcripts, to

[3] Charlie Munger, Daily Journal Corporation Annual Meeting, September 10, 2014.